

Income Tax in India

1. Income Tax Act, 1961

The Income Tax Act, 1961 is the principal legislation governing income tax. It covers charge of tax, computation of income, assessment procedures, and penalties. The Act has 298 sections across 23 chapters.

2. Residential Status

Tax liability depends on residential status: Resident, Non-Resident, or Not Ordinarily Resident. Residents are taxed on global income, while non-residents are taxed only on Indian income. Status is determined based on days of stay in India.

3. Heads of Income

Income is classified under five heads: (1) Salary, (2) House Property, (3) Business/Profession, (4) Capital Gains, and (5) Other Sources. Each head has specific computation rules and allowable deductions.

4. Salary Income

Salary includes wages, allowances, perquisites, and retirement benefits. Standard deduction of Rs. 50,000 is available. Professional tax paid is deductible. House Rent Allowance and Leave Travel Allowance have specific exemption rules.

5. House Property Income

Income from house property is calculated as Net Annual Value minus standard deduction (30%) minus interest on home loan. Self-occupied property has notional annual value of nil. Interest deduction is limited to Rs. 2 lakh.

6. Business Income

Business income is computed as revenue minus allowable expenses. Depreciation on assets is allowed. Presumptive taxation schemes (Section 44AD/ADA/AE) simplify compliance for small businesses. Books of accounts may be required.

7. Capital Gains

Profits from sale of capital assets are taxed as capital gains. Short-term (held <24 months for immovable property, <12 months for others) and long-term gains have different tax rates. Exemptions under Sections 54/54EC/54F available.

8. Deductions (Chapter VIA)

Section 80C allows Rs. 1.5 lakh deduction for specified investments (PPF, ELSS, LIC, etc.). Section 80D for health insurance (Rs. 25,000/50,000). Section 80E for education loan interest. Multiple deductions available under Chapter VIA.

9. Tax Rates and Computation

India has two tax regimes: Old (with deductions) and New (lower rates without deductions). For FY 2023-24, old regime rates: 0-2.5L (nil), 2.5-5L (5%), 5-10L (20%), above 10L (30%). New regime has different slabs with lower rates.

10. TDS and Compliance

Tax Deducted at Source (TDS) is deducted by payers on various incomes. Advance tax is payable in installments if liability exceeds Rs. 10,000. ITR filing is mandatory for specified persons. Assessment, appeals, and penalties governed by the Act.